

Disposition

Parties to appear on 5/12/26.

Petitioner shall be prepared to cite specific pages of their exhibits to support their arguments.

17. 9:00 AM CASE NUMBER: RS24-0953
CASE NAME: BG ASSET MANAGEMENT, INC. VS. LISA DAVIDSON
***HEARING ON MOTION IN RE: FOR LEAVE TO FILE A FIRST AMENDED CROSS-COMPLAINT**
FILED BY: DAVIDSON, LISA M.
TENTATIVE RULING:

Cross Complainant filed a Motion for leave to file a First Amended Cross Complaint, on 12/24/25. The Motion was timely filed and served.

Cross Defendants filed a response.

Background

The original Complaint, in which Cross Defendant BG Asset Management was the Plaintiff, was filed on 12/6/24, as an Unlawful Detainer. The lease agreement at issue covered a period beginning 6/1/22, through approximately 10/24/24, when notice was given to pay rent or quit. Subsequently, possession was no longer an issue. and Cross-Complainant filed a Cross Complaint on 7/29/25.

On 7/29/25, Cross Complainant filed a Cross Complaint ("Cross Complaint") in which only BG Asset Management was named as a Cross Defendant, and which alleged various forms of Breach of Contract, as well as a Common Count, all stemming from what appears to be the same lease agreement in the original Complaint. The facts centered on claims that the Cross Defendants did not maintain a habitable residence and engaged in retaliatory behavior that precluded Cross Complainant from the enjoyment of her home.

Cross Complainant sought damages of approximately \$42,653.09

Cross Defendant filed an Answer to the Cross Complaint on 8/28/25, then Cross-Complainant filed for leave to amend the Cross Complaint on 12/24/25.

In the proposed First Amended Cross Complaint ("FACC"), which is included as Exhibit One in the declaration of Cross Complainant's counsel ("Declaration"), filed 12/24/25, Cross Complainant adds Marc Guzman as a Cross Defendant, in addition to BG Asset Management. The FACC alleges that the Cross Defendants were owners, managers, employees or representatives of these parties. The FACC alleges a greater number of causes of action than the Cross Complaint, and the factual allegations are broader, but the crux appears to be similar to the allegations in the Cross Complaint: Cross

Defendants, despite ample notice, failed to repair a number of defects in the unit that affected habitability; and that Cross Defendants engaged in a pattern of harassment during the lease period.

Damages in the FACC are significantly greater than what was originally sought in the Cross Complaint.

Cross Complainant further claims that the reason these allegations were not made in the Cross Complaint was because she was self-represented and was simply unaware of the legal significance of the factual circumstances.

Cross-Defendants offer a number of arguments against allowing leave to amend. First, they argue that the amended cross-complaint offers no personal liability for Mr. Guzman, the CEO of the cross-defendant corporation. Next, they argue that counsel for Cross-Complainant apparently conceded, in a communication to them, that Cross-Complainant agreed that Mr. Guzman should not be named as a cross defendant.

Cross-Defendants further contend that they would incur prejudice by virtue of the amended filing because it adds further legal cost for the preparation of a defense. And, that equities sway the court to deny leave, given that Cross Complainant spurned a number of Cross Defendants' attempts, beginning on 12/9/25, to agree to an amended Cross Complaint, as well as overtures to settle.

In addition, Cross Defendant argue that the purpose of adding Mr. Guzman to the Cross Complaint is simply to intimidate Cross defendant.

Moreover, they contend that the statutes under which Cross-Complainant seeks relief do not apply. Cross Defendants argue that the lease at issue is not subject to the "just-cause" requirements of Section 1946.2 of the CCP, and that the cause of action alleging Retaliation, under Section 1942.5 of the Civil Code, is not available to a tenant who has defaulted on the payment of rent.

Finally, Cross-Defendants go on to argue that the damages are improper.

No trial date has been set.

Analysis

A trial court can permit the amendment of any pleading at any time. *CCP Section 473(a)*. In fact, courts should be quite liberal in permitting such amendments unless the statute of limitations has not expired, and the opposing party will not suffer prejudice. *Harris v. City of Santa Monica* (2013) 56 Cal4th 203, 240. Factors

The factors for a court to consider include the moving party's conduct and the timeliness of the amendment. *Duchrow v. Forrest* (2013) 215 CA4th 1359, 1377. Additional factors are whether granting such leave will lead to a "delay in trial, loss of critical evidence, or added costs of preparation. *Kolani v. Gluska* (1998) 64 CA4th 402, 412.

A defendant's cross complaint is compulsory if the cause of action "arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause of action...in [the] complaint. Code of Civ Procedure Section 426.10(c). Causes of action arise out of the same transaction or occurrence if

the factual or legal issues are logically related. “[T]ransaction is construed broadly; it is not confined to a single, isolated act or occurrence...but may embrace a series of acts or occurrences logically interrelated.” *Heshejin v. Rostami* (2020) 54 CA5th 984, 993-994.

To be considered a compulsory cross-complaint, the cause of action must have existed at the time Defendant served its answer to the complaint. CCP Section 426.30(a),

The court has the discretion to allow a defendant to file a cross-complaint at any time during a lawsuit. “The court ... shall grant ... leave to amend the pleading, or to file the cross-complaint, to assert such cause if the party who failed to plead the cause acted in good faith. This subdivision shall be liberally construed to avoid forfeiture of causes of action. *CCP 426.50*; *Silver Organizations Ltd. v. Frank* (1990) 217 CA3d 94, 98-99.

If a party fails to assert a cause of action in a cross complaint that existed at the time of serving their answer to the complaint, the party will be barred from raising the action in any other action. *CCP 426.50(a)*.

In the instant matter, the facts on which the causes of action from the FACC hinge clearly arise from the same transaction as those in in the Cross Complaint. Everything stems from the alleged disrepair of the residential unit in which Cross Complainant lived, and the alleged conduct of the Cross Defendants after Cross Complainant voice her complaints about her unit’s uninhabitability. It would seem that, should Cross Complainant not raise these additional causes of action in the FACC, she would be barred from ever doing so.

Next, it doesn’t appear that Cross Complainant is acting in bad faith. She filed this FACC about 5 months after the Cross Complaint, which is not a very long time. That Cross Complainant failed to submit a more robust Cross Complaint at the first go does not demonstrate bad faith. If anything, her move to hire counsel afterward reflects an acknowledgment that she may have been out of her depth, and acted to find the assistance of counsel to move the case along. Five months does not seem a very long time period within which to find counsel, have the new counsel review the case, and then file appropriate pleadings. And that Cross Complainant did not acquiesce to the overtures of Cross Defendants with respect to the language of an Amended Cross Complaint or their settlement offer reflects nothing more than mere disagreement, not bad faith.

Since there is no trial date set, it is unclear why the additional allegations and causes of action in the FACC would add significant cost to the Cross Defendants’ preparation of a defense. The transaction is the same. Cross Defendants have been aware of the facts alleged in the FACC for some time.

And though Cross Defendants argue that Cross Complainant has added Mr. Guzman as a Cross Defendant with the intended purpose of intimidating Cross Defendants, Cross Defendants don’t offer an adequate explanation in their response – if any was offered at all – supporting this claim. This court does not see any reason to draw this inference.

In summary, the court, after finding no bad faith by the Cross Complainant, and that Cross Defendants will not serve any prejudice as a consequence of the filing, will grant Cross Complainant leave to file

the FACC.

The additional arguments made by Cross Defendants – that the statutes under which Cross Complainant seeks relief do not apply, or that the FACC fails to state a claim of personal liability against Mr. Guzman – seem more appropriate for a Demurrer.

Disposition

Cross Complainant's Motion for leave to file the FACC is granted.

Cross Complainant to file the FACC within 5 days of this ruling, which is within 5 days of 5/12/26.

Cross Complainant is to prepare and order reflecting this ruling.

Parties are on notice that the court intends to reclassify this matter as an unlimited civil matter at the next CMC, which is 5/27/26.